

Elisa

ELISA.HE • NASDAQ Helsinki • Telecommunications Services • Finland

COMPANY PROFILE

Elisa provides mobile and fixed connectivity, devices, entertainment and digital services to consumers in Finland and Estonia. It provides communications, cloud, cybersecurity, IT and IoT services to corporate and public-sector customers, plus international network-assurance, automation and manufacturing software through Elisa Industriq and Polystar.

RECOMMENDATION

HOLD

12-month horizon

CURRENT PRICE

39.38 EUR

as of report date

TARGET PRICE

37.40 EUR

12-month fundamental

IMPLIED UPSIDE

-5.0%

vs. current price

MARKET CAP

EUR 6.3 bn

shares × price

ENTERPRISE VALUE

EUR 8 bn

mcap + EV adjustments

P/E 2026E

16.1×

EV/EBITDA 2026E

8.1×

FCF YIELD 2026E

5.1%

DIVIDEND YIELD
2026E

5.0%

NET DEBT / EBITDA
2026E

1.6×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION HOLD 12-month horizon	TARGET PRICE 37.40 EUR 12-month fundamental	CURRENT PRICE 39.38 EUR as of report date	IMPLIED UPSIDE -5.0% vs. current price
MARKET CAP EUR 6.3 bn shares × price	ENTERPRISE VALUE EUR 8 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 16.1x · 8.1x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 5.1% · 5.0%

01 Consumer remains the value centre
Consumer contributes 70.0% of reported comparable EBIT and is valued at EUR 5.5 billion, or 72.1% of enterprise value. Its EUR 24.0 post-paid ARPU and improving churn indicate pricing power. However, the valuation requires this improvement to hold through renewed discounting.
72.1% of EV

02 Cost savings protect a low-growth model
The transformation programme targets EUR 40m of annual savings. It can offset weak equipment demand and wage inflation, but only recurring savings should be capitalised. Restructuring classifications and the unexplained 2026 model EBITDA spike should not.
EUR 40m savings

03 Software has evidence, not yet proof
International Software Services has more than 2,000 customers, approximately 50% recurring revenue and positive 2025 EBITDA. However, FY2025 comparable EBIT was EUR -10m and Q2 2026 organic growth was only 0.6%. This limits the multiple until the business demonstrates both organic growth and cash conversion.
EUR 260m EV

THESIS BREAKER
Sustained churn below 17%, software organic growth above 10% and 2027 EBITDA above EUR 900m would invalidate the cautious valuation.

SHARE PRICE DEVELOPMENT

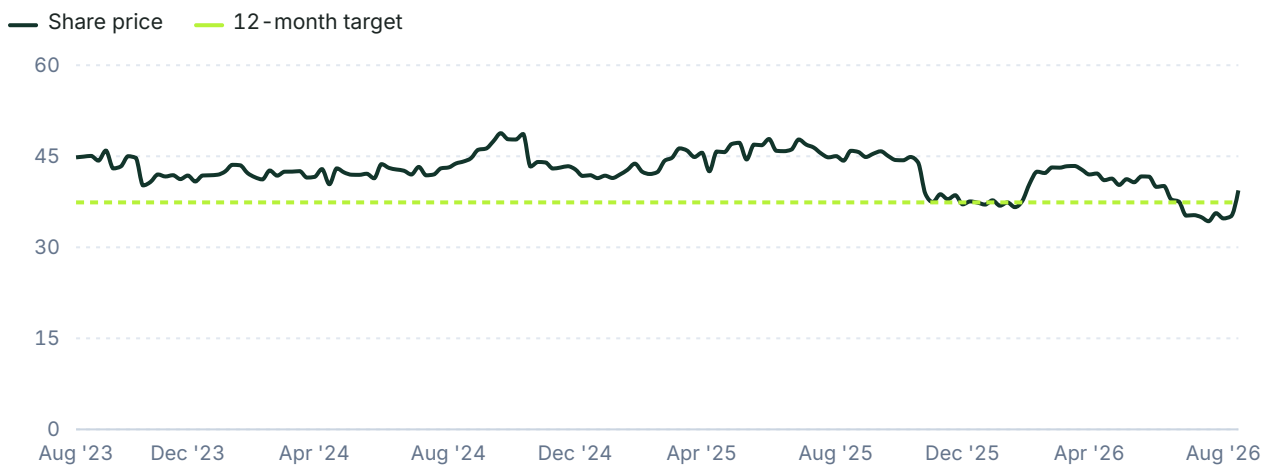
Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

EUR per share, with 12-month target line



CURRENT PRICE

39.38 EUR

19 August 2026

TARGET PRICE

37.40 EUR

12-month

IMPLIED UPSIDE

-5.0%

vs. current

52-WEEK HIGH

47.30 EUR

past 12m

52-WEEK LOW

33.70 EUR

past 12m

1-YEAR CHANGE

-21.4%

price only

3-YEAR CHANGE

-21.7%

price only

REPORT DATE

19 August 2026

READING THE MOVE

Elisa's valuation has fallen from the elevated multiples of 2020–22 as revenue growth slowed, interest expense increased and software profitability remained immature. The 2026 debate centres on consumer churn, delayed price adjustments, EUR 40m of transformation savings, and the gap between official EBITDA guidance and the model's EUR 982m figure. The EUR 37.44 target recognises the durability of the domestic franchise but does not capitalise an unverified earnings step-up.

VALUE BREAKDOWN · PART 1

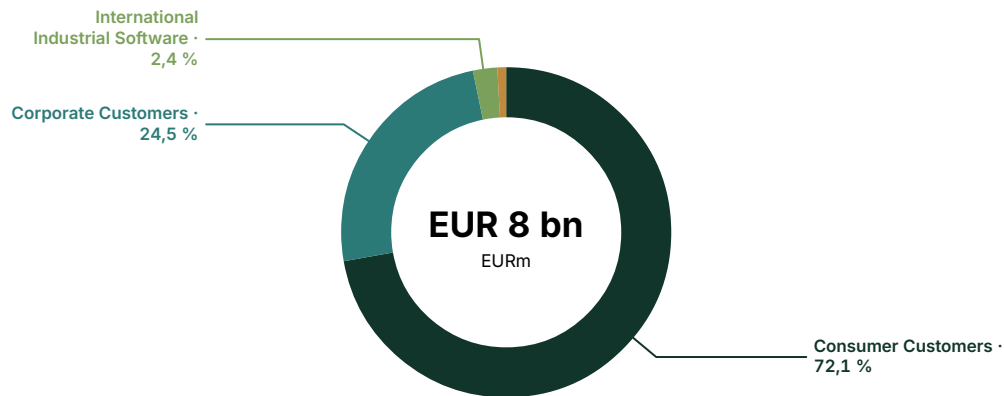
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

EUR millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	COMP. EBIT	COMP. EBIT % OF TOTAL	BASIS
Consumer Customers	5,734	72.1%	1,352	59.9%	358	70.0%	Reported
Corporate Customers	1,951	24.5%	750	33.2%	164	32.1%	Reported
International Industrial Software	188	2.4%	95	4.2%	-6	-1.2%	Modelled allocation
International Telecom Software	83	1.0%	60	2.7%	-4	-0.8%	Modelled allocation
Total	7,956	100.0%	2,257	100.0%	512	100.1%	

VALUE BREAKDOWN · PART 2

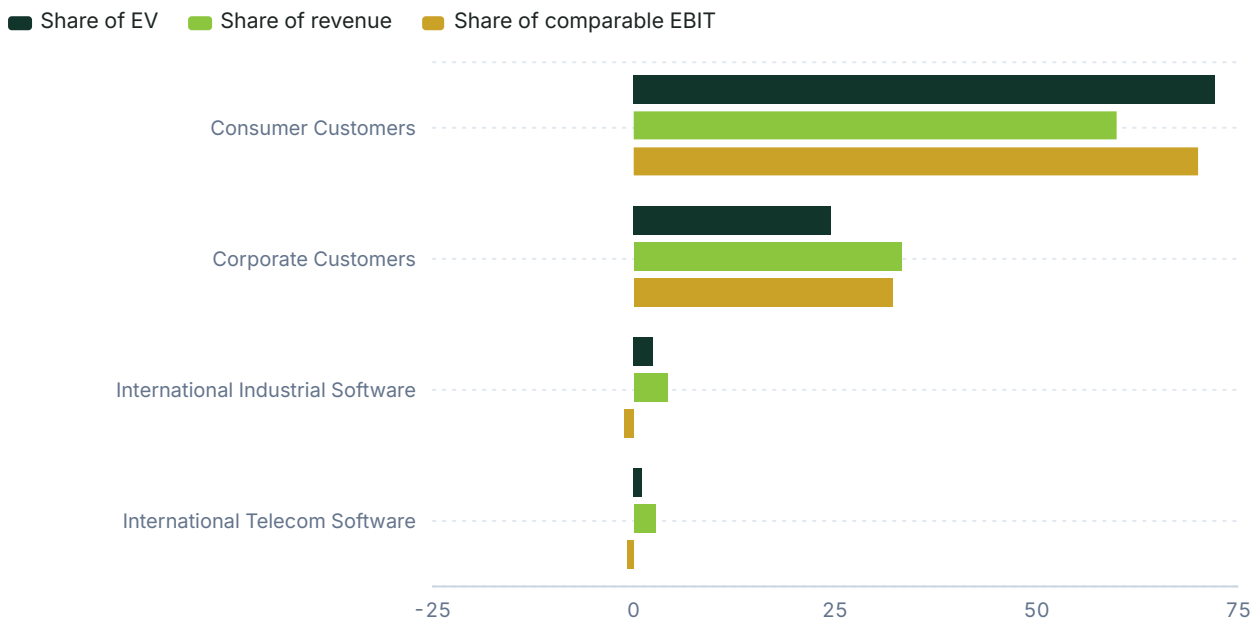
Where value sits versus where money is earned

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

05

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Elisa remains a domestic telecom valuation: Consumer and Corporate account for 96.6% of the report's SOTP enterprise value. International software contributes only EUR 260m because positive EBITDA has not translated into positive comparable EBIT or consistently strong organic growth. The equity case therefore depends primarily on consumer churn, ARPU and cost savings. Software offers upside but does not support the current price.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

HOLD. The 12-month target price is EUR 37.4, implying 5.0% downside from the current price of EUR 39.38.

The current price requires more than stability. The reverse valuation requires EBIT of EUR 630m in 2027 and a 27.0% margin, versus the authoritative model's EUR 555m and 23.8%. Terminal growth remains 3.0%. It also values Elisa at 8.10x the model's anomalous EUR 982m 2026 EBITDA, although official guidance is only EUR 815–845m and consensus is EUR 830m. The report therefore anchors valuation to EUR 856m in 2027, where the model and consensus agree.

The evidence is balanced. Consumer post-paid ARPU reached EUR 24.0 in Q2 2026, while churn improved to 16.7% from 23.0% in Q4 2025. Consumer and Corporate comparable EBITDA margins reached 43% and 35%. Against this, Corporate revenue fell 0.7%, international software organic growth was only 0.6%, and software guidance was cut to 5–10%. Elisa nevertheless retained EUR 815–845m EBITDA guidance in its July half-year report.

The strongest challenge to the cautious view is that EUR 40m of annual transformation savings, delayed mobile price adjustments and improving Estonian profitability could lift domestic EBITDA faster than assumed. This would support the upper end of Elisa's historical valuation range. However, the current price already requires a sizeable margin increase and assigns material value to software businesses that generated positive EBITDA but negative comparable EBIT in 2025.

The view turns constructive if churn stays below 17%, service revenue converts EUR 24 ARPU into sustained growth, 2027 EBITDA exceeds EUR 900m, and software delivers organic growth above 10% with positive comparable EBIT. It turns negative if competitive repricing pushes churn above 20%, Corporate ICT mix dilutes margins, or software remains acquisition-dependent while leverage stays near 2.0x.

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Enterprise value is concentrated in domestic connectivity. Consumer contributes 70.0% of reported comparable EBIT and EUR 5.5 billion of SOTP EV. Its key metric is post-paid churn, because EUR 24.0 ARPU creates value only if it holds during competitive retention activity. Corporate contributes EUR 1.9 billion. Its key metric is consolidated EBITDA margin as recurring security and cloud growth combines with lower-margin IT and equipment.

Software is strategically relevant but financially small. Telecom Software is valued at EUR 80m on EUR 8m of 2027 EBITDA, with operator expansion and the MasOrange deployment as key tests. Industrial Software is valued at EUR 180m on EUR 18m of 2027 EBITDA. The key test is whether approximately 50% recurring revenue rises while organic growth exceeds the reduced 5–10% guide.

The group target uses EUR 856m of 2027 EBITDA, the figure on which the authoritative model and consensus agree. It excludes the unsupported EUR 982m 2026 model EBITDA, which conflicts with EUR 395m reported first-half EBITDA and official EUR 815–845m full-year guidance.

ANALYTICAL ANCHOR

The target is a domestic telecom valuation with limited software credit: Consumer and Corporate account for 96.6% of enterprise value.

08.1

Consumer Customers

Business division deep dive — Profit engine.

SIZE OF THE PRIZE AND THE SHARE ELISA MUST DEFEND

Consumer competes for recurring connectivity spending by households and small users across Finland's fixed and wireless telecom market, not only for incremental 5G subscriptions. Mordor Intelligence valued the Finnish mobile-network-operator market at USD 5.25bn in 2026. Verified Market Research valued the broader fixed-and-wireless market at USD 6.5bn in 2024. The definitions differ, so neither figure is used directly in valuation. The broader figure includes spending on devices, wholesale and non-connectivity services. For Elisa, the relevant opportunity is service revenue that can be retained and repriced as households move to 5G and fibre. With FY2025 Consumer revenue of EUR 1.4 billion, Elisa already has a meaningful domestic-and-Estonian revenue base. Value therefore depends more on defending price and share than on capturing a small share of a new market.

The division does not need large market-share gains. Finland mobile estimates put Elisa at 38% in late 2025 and 39% in 2024, versus Telia at roughly 32–33% and DNA at 28%. The report uses the 38–39% range rather than a false point estimate because official 2026 Traficom shares were unavailable. In fixed broadband, Elisa's estimated 28% share trails DNA's 34% and matches Telia's. This leaves room for fibre-led gains but also exposes Elisa to a strong incumbent challenger. The base valuation assumes broadly stable mobile share, no structural fixed-line loss and low-single-digit service-revenue growth, rather than a move toward monopoly economics.

UNIT ECONOMICS DEPEND ON ARPU AND RETAINED SUBSCRIPTIONS

The key operating equation is subscriptions multiplied by ARPU, less acquisition, retention and network costs. Elisa reported Finland post-paid ARPU of EUR 24.0 per month in Q2 2026, up from EUR 23.9 in Q1. DNA reported EUR 19.6 and a 1% year-on-year decline. The comparison is not fully like-for-like because package composition and customer mix may differ. Still, Elisa's approximately EUR 4.4 monthly premium suggests stronger mix, more services per subscription or better pricing. Annualised, EUR 24.0 represents EUR 288 of service revenue per retained post-paid relationship before VAT and accounting differences. A one-euro monthly change across one million equivalent subscriptions would change annual revenue by EUR 12m. This is why modest pricing and churn changes matter more than headline subscriber growth.

CONSUMER CUSTOMERS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 1,352m

FY2025A COMPARABLE EBIT
EUR 358m

FY2025 COMPARABLE EBIT MARGIN
26.5% = EUR 358m / EUR 1,352.2m

Q2 2026 COMPARABLE EBITDA MARGIN
43%, versus 42% a year earlier

FINLAND POST-PAID ARPU
EUR 24.0/month in Q2 2026

FINLAND POST-PAID CHURN
16.7% in Q2 2026; 23.0% in Q4 2025

FINLAND MOBILE SUBSCRIBER SHARE
38–39% in 2024–25 estimates

FINLAND FIXED BROADBAND SHARE
28% in 2024; DNA led with 34%

VALUATION INPUT
EUR 580m 2027E EBITDA at 9.5x

REPORT-ESTIMATED EV
EUR 5,510m; 72.1% of SOTP EV

08.1

Consumer Customers (continued)

Business division deep dive — Profit engine.

Churn determines whether the ARPU premium is durable. Elisa's post-paid churn fell to 16.7% in Q2 2026 from 17.2% in Q1 and 23.0% in Q4 2025. The latest result is an improvement, not evidence of a permanently calmer market. The Q4 spike shows how quickly campaign activity can increase retention discounts and customer-acquisition spending. The base case assumes churn stays around 16–18%, allowing the ARPU increase to flow into service revenue without a disproportionate rise in commissions or handset subsidies. A return above 20% would indicate that the EUR 24 price point is drawing competitive responses. It would weaken both revenue growth and the 9.5x multiple.

COMPETITIVE EVIDENCE SUPPORTS QUALITY, BUT NOT UNLIMITED PRICING

- Elisa: 38–39% estimated Finland mobile share, EUR 24.0 post-paid ARPU and 16.7% churn in Q2 2026.
- Telia Finland: approximately 32–33% mobile share; Q2 service revenue grew only 0.1% in a competitive consumer market.
- DNA: 28% mobile share, EUR 19.6 mobile ARPU and 34% fixed-broadband share; fixed ARPU fell 4% to EUR 16.7 in Q2 2026.
- Estonia: Elisa's Q2 revenue rose 3% to EUR 55.9m and EBITDA rose 13% to EUR 20.4m, but market-leadership estimates conflict.

The Finnish evidence supports Elisa's premium franchise, but competitor disclosures show that the market still limits pricing. Telia's Q2 2026 service-revenue growth of 0.1% and DNA's declining ARPU are consistent with competitive discounting, not an industry-wide pricing cycle. Elisa can outperform through network quality, bundling and customer mix, but its premium may narrow if rivals cut prices to defend share. The report therefore assumes low-single-digit service growth, rather than the 4.33% market CAGR in third-party forecasts. Applying the full market-growth forecast to Elisa would ignore saturation and likely overstate the revenue available to an incumbent with nearly two-fifths of mobile subscriptions.

ESTONIA PROVIDES GROWTH, BUT MARKET-SHARE EVIDENCE CONFLICTS

Recent non-regulatory estimates claim Elisa Estonia reached 42% mobile share in 2026 and overtook Telia. S&P Global's older 2023 figures placed Telia first at 43%. Another 2026 source describes Elisa as second-largest despite also citing a 42% share. The report gives more weight to Elisa Estonia's Q2 financial performance than to the disputed ranking. Revenue rose 3% and EBITDA rose 13% to EUR 20.4m. This implies a 36.5% quarterly EBITDA margin, calculated as EUR 20.4m divided by EUR 55.9m, and shows operating leverage. It does not prove Elisa is market leader because official 2026 TTJA percentages were unavailable.

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08.1

Consumer Customers (continued)

Business division deep dive — Profit engine.

Fixed broadband in Estonia is the clearer gap. S&P Global estimated Telia at 53% and Elisa at 23% using 2023 data. This suggests convergence can support growth, but the incumbent advantage remains substantial. The valuation assumes steady margin improvement and modest growth in Estonia, not rapid fixed-broadband share gains. If the newer 42% mobile estimate is confirmed by an official source and cross-selling lifts fixed share without heavy fibre overbuild, both revenue and capital efficiency could improve. If the ranking proves unreliable, the Consumer valuation still rests mainly on Finland and does not require Estonian leadership.

MARGIN EVIDENCE AND TRANSFORMATION SAVINGS DRIVE THE EARNINGS BRIDGE

Consumer's reported FY2025 comparable EBIT was EUR 358m on EUR 1.4 billion revenue, a 26.5% margin calculated by this report. Q2 2026 comparable EBITDA margin reached 43%, up from 42% a year earlier. The difference between EBIT and EBITDA margins reflects network depreciation and other non-cash charges. At group level, Elisa launched a transformation programme targeting EUR 40m of annual cost savings from Q1 2026 onward. Early measures included lower outsourced IT consultancy. Consumer should receive the largest absolute benefit because it is the largest revenue and profit pool, although Elisa did not disclose a divisional allocation.

The report assigns Consumer EUR 580m of the EUR 856m group EBITDA expected in 2027. This is 67.8% of group EBITDA, below its 70.0% share of comparable EBIT. The difference allows for depreciation and software EBITDA recovery. The assumption requires stable service revenue, continued Estonian momentum and a meaningful share of transformation savings, partly offset by wage, energy and customer-acquisition costs. It excludes the authoritative model's EUR 982m 2026 EBITDA because official first-half EBITDA was EUR 395m and full-year guidance was EUR 815–845m. Using the unexplained EUR 982m would capitalise EUR 152m that the internal reconciliation could not link to normal operations as of the report date.

VALUATION: A PREMIUM FRANCHISE, BUT BELOW ITS OLD PEAK

The report values EUR 580m of 2027 Consumer EBITDA at 9.5x, producing EUR 5.5 billion of enterprise value. The multiple exceeds the 2026 peer median of 6.5x because Elisa's Consumer business has higher market share, a 43% quarterly EBITDA margin, premium ARPU and lower geographic complexity than many telecom peers. It is below Elisa's normalised 2020–25 average of 11.94x and the 12–14x levels seen in 2020–22. Growth is slower, interest costs are higher and churn has been more volatile. Tele2's 2026 multiple of 9.7x provides the closest direct support, while Swisscom at 8.2x is a high-quality but structurally different reference.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1

Consumer Customers (continued)

Business division deep dive — Profit engine.

A one-turn change in the Consumer multiple moves enterprise value by EUR 580m, or approximately EUR 3.61 per Elisa share before financing effects. This sensitivity makes durable pricing more important than small changes in near-term device revenue. A 10% EBITDA miss would reduce divisional EV by EUR 551m at the selected multiple. Conversely, EUR 40m of fully recurring group savings would be worth materially more than its nominal amount if most reached Consumer EBITDA. The base case does not assign all savings to this division.

WHAT BREAKS THE VALUE

The first risk is post-paid churn returning above 20% for more than one quarter, alongside stalled or declining ARPU. The second is fixed-broadband share loss to DNA if fibre competition requires higher retention discounts or duplicated investment. The third is failure to turn the transformation programme into recurring cash savings, particularly if restructuring charges are followed by renewed consultancy or customer-acquisition expense. The fourth is higher capital expenditure without matching service growth. The model forecasts EUR 330m group capex in 2027, and a structurally higher requirement would reduce free cash flow even if EBITDA held.

The upside case is equally specific. Churn below 17%, ARPU above EUR 24 and verified service-revenue growth of at least 2% would support EBITDA above the EUR 580m division assumption. Confirmation that Elisa leads Estonia's mobile market, combined with fixed-broadband share gains and margins around the Q2 level, would provide a second upside driver. A 10.0–10.5x multiple could then be justified. Until these conditions are visible together, Consumer remains a high-quality profit engine rather than a high-growth asset.

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CONSUMER COMPETITIVE POSITION AND UNIT-ECONOMICS INDICATORS

OPERATOR	MOBILE SHARE / POSITION	Q2 2026 ARPU	LATEST OPERATING SIGNAL
Elisa Finland	38–39% est. (2024–25)	EUR 24.0 post-paid	16.7% churn
Telia Finland	32–33% est. (2024–25)	Not established	Service rev. +0.1%
DNA Finland	28% est. (2024)	EUR 19.6 mobile	Fixed ARPU -4%
Telia Estonia	43% in older 2023 data	Not established	53% fixed share
Elisa Estonia	42% disputed est. (2026)	Not established	EBITDA +13%

08.2

Corporate Customers

Business division deep dive — Profit engine.

THE OPPORTUNITY IS ENTERPRISE TECHNOLOGY SPENDING, NOT ONLY TELECOM CONNECTIONS

Corporate Customers competes for Finnish enterprise and public-sector spending on connectivity, managed communications, cloud, cybersecurity, IT, IoT and related operational services. GlobalData projected the broader Finland ICT opportunity to exceed USD 32.14bn by 2030. A separate estimate valued Finland's digital-transformation market at USD 4.67bn in 2025. These categories are much broader than Elisa's addressable revenue because they include hardware, software and services Elisa does not provide. A more practical view is Nordic organisations' IT budgets, estimated at 5–7% of revenue, including legacy infrastructure and manual work that managed services can replace. The valuation uses Elisa's demonstrated revenue and margin path rather than applying a top-down share to the USD 32bn headline.

Elisa already holds strong positions in connectivity. The company estimated approximately 40% of Finnish corporate mobile-service revenue and nearly 50% of corporate fixed-service revenue in 2024. This installed base supports sales of cloud, security, IoT and managed IT. The required capture is not a large new telecom share gain. It is higher wallet share per existing corporate relationship while retaining high-margin connectivity. The base case assumes Corporate revenue rises from EUR 749.6m in 2025 toward approximately EUR 780–800m by 2027, with mix and savings supporting EBITDA despite modest revenue growth.

MIX IS CENTRAL TO VALUATION BECAUSE NOT ALL GROWTH ADDS EQUAL VALUE

FY2025 comparable EBIT was EUR 164m on EUR 749.6m revenue, a 21.9% margin calculated by this report. Q2 2026 comparable EBITDA margin rose to 35% from 33%, even as revenue declined 0.7%. This indicates cost discipline and a better earnings mix, but it also shows why not all ICT revenue is accretive. Elisa's earlier benchmark for domestic B2B IT services was approximately EUR 140m of revenue at only about a 5% EBITDA margin. IoT and security generated approximately EUR 70m at a 20–40% margin range. Connectivity, cybersecurity and scalable managed platforms can add value, while labour-intensive resale, project integration and outsourced consulting can dilute it.

CORPORATE CUSTOMERS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 750m

FY2025A COMPARABLE EBIT
EUR 164m

FY2025 COMPARABLE EBIT MARGIN
21.9% = EUR 164m / EUR 749.6m

Q2 2026 COMPARABLE EBITDA MARGIN
35%, versus 33% a year earlier

Q2 2026 REVENUE GROWTH
-0.7% year on year

FINLAND CORPORATE MOBILE SHARE
Approximately 40% of revenue in 2024

FINLAND CORPORATE FIXED SHARE
Nearly 50% of revenue in 2024

DOMESTIC IT BENCHMARK
EUR 140m revenue, about 5% EBITDA in 2022

IOT AND SECURITY BENCHMARK
EUR 70m revenue, 20–40% EBITDA in 2022

VALUATION INPUT
EUR 250m 2027E EBITDA at 7.5x

08.2

Corporate Customers (continued)

Business division deep dive — Profit engine.

The key issue is whether recurring ICT, cloud and security services improve rather than dilute the overall margin. A euro of 30% EBITDA-margin security revenue can support a telecom-like multiple. A euro of 5% project revenue should be valued closer to low-margin IT services. Elisa does not disclose the 2025 revenue split among connectivity, IT, cloud, cyber and IoT, preventing a precise mix bridge. The report addresses this by valuing consolidated division EBITDA rather than applying a revenue multiple to the broad ICT market. The EUR 250m 2027 EBITDA assumption requires the Q2 margin improvement to last, not simply more revenue.

CONNECTIVITY SHARE CREATES ACCESS; SERVICE CAPABILITY DRIVES CONVERSION

- Elisa: approximately 40% of Finnish corporate mobile revenue and nearly 50% of corporate fixed revenue in 2024; ranked among Finland's top four IT service companies in 2025.
- Telia Finland: major national mobile, fixed, cloud and security competitor, but a B2B-only share was not identified.
- DNA/Telenor: national mobile and fixed competitor; total-market shares are known, but a public corporate-only split was not found.
- Global IT vendors and integrators: compete for the wider USD 32.14bn Finnish ICT opportunity with deeper specialist scale but without Elisa's connectivity base.

Elisa's connectivity share provides low-cost customer access and network integration that pure IT providers must replicate through partnerships. It can bundle secure access, cloud connectivity, monitoring and managed operations into recurring contracts. However, telecom relationships do not automatically create credibility in applications, cloud or systems integration. Elisa's top-four IT-services ranking shows relevance, not leadership. No major B2B contract disclosures were identified between August 2025 and August 2026. There is therefore no verified large-win pipeline to support a more aggressive revenue scenario.

COST REDUCTION CAN REVEAL THE QUALITY OF THE INSTALLED BASE

In Q1 2026, Elisa targeted outsourced services such as IT consultancy. This matters for Corporate because external delivery resources can make revenue appear recurring while costs remain project-variable and labour-intensive. If Elisa standardises delivery, automates support and moves workloads to common cloud and security platforms, revenue can remain stable while EBITDA expands. The Q2 margin increase to 35% is consistent with this path. It is not sufficient evidence on its own, because equipment mix, project timing and restructuring classifications can also affect quarterly margins.

CORPORATE CUSTOMERS FACT SHEET

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EUR 164m

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Approximately 40% of revenue in 2024

FINLAND CORPORATE FIXED SHARE
Nearly 50% of revenue in 2024

DOMESTIC IT BENCHMARK
EUR 140m revenue, about 5% EBITDA in 2022

IOT AND SECURITY BENCHMARK
EUR 70m revenue, 20-40% EBITDA in 2022

VALUATION INPUT
EUR 250m 2027E EBITDA at 7.5x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2

Corporate Customers (continued)

Business division deep dive — Profit engine.

The group transformation programme targets EUR 40m of annual savings. The report assumes Corporate receives sufficient savings to offset wage inflation and weaker equipment demand, but not enough to turn a low-growth service mix into software economics. Equipment sales reduced group revenue by EUR 7m in Q1 2026, showing that lower hardware sales can reduce revenue without an equal profit loss. Investors should therefore monitor gross profit and EBITDA rather than revenue alone when equipment mix changes. Falling revenue alongside declining recurring service gross profit would be a genuine warning.

BUILDING THE 2027 EBITDA REQUIREMENT

The report assigns Corporate EUR 250m of 2027 group EBITDA, equal to 29.2% of the authoritative EUR 856m forecast. This is consistent with Corporate's 32.1% share of FY2025 comparable EBIT after allowing for depreciation and a recovering software contribution. At illustrative revenue of EUR 790m, EUR 250m implies a 31.6% EBITDA margin. This is below the Q2 2026 reported 35% level and therefore allows for some normalisation. It remains demanding if low-margin IT services grow faster than connectivity and security.

The assumption can also be tested through mix arithmetic. If EUR 600m of connectivity and higher-margin services earned 38% EBITDA, it would contribute EUR 228m. The remaining EUR 190m of lower-margin IT and equipment at 12% would add EUR 23m, yielding approximately EUR 251m. This is the report's illustrative estimate, not a reported split. If the lower-margin portion earned only 5%, total EBITDA would be about EUR 238m. If security and IoT grew while the legacy IT share was standardised to 15%, EBITDA could approach EUR 257m without high revenue growth.

VALUATION: STRONG CONNECTIVITY, BUT DISCOUNTED ICT EXECUTION

The division is valued at EUR 250m of 2027 EBITDA multiplied by 7.5x, giving EUR 1.9 billion of enterprise value. The multiple is above the 2026 peer median of 6.5x because Elisa has leading corporate connectivity positions and a 35% quarterly EBITDA margin. It is below the 9.5x assigned to Consumer because Corporate has greater project, equipment and labour-mix risk. It is also below Tele2's 9.7x and Swisscom's 8.2x group multiples, reflecting the lack of disclosed recurring-revenue mix and the marginal Q2 revenue decline.

One turn of the multiple changes Corporate EV by EUR 250m, or approximately EUR 1.56 per Elisa share. A 10% EBITDA change moves EV by EUR 188m at 7.5x. The most plausible upside comes from a higher share of cybersecurity, IoT and automated managed services, not indiscriminate expansion into low-margin consulting. The main downside is stable connectivity combined with ICT growth that needs more employees and subcontractors, leaving consolidated margin below the Q2 level.

CORPORATE CUSTOMERS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

EUR 750m

FY2025A COMPARABLE EBIT

EUR 164m

FY2025 COMPARABLE EBIT MARGIN

21.9% = EUR 164m / EUR 749.6m

Q2 2026 COMPARABLE EBITDA MARGIN

35%, versus 33% a year earlier

Q2 2026 REVENUE GROWTH

-0.7% year on year

FINLAND CORPORATE MOBILE SHARE

Approximately 40% of revenue in 2024

FINLAND CORPORATE FIXED SHARE

Nearly 50% of revenue in 2024

DOMESTIC IT BENCHMARK

EUR 140m revenue, about 5% EBITDA in 2022

IOT AND SECURITY BENCHMARK

EUR 70m revenue, 20-40% EBITDA in 2022

VALUATION INPUT

EUR 250m 2027E EBITDA at 7.5x

08.2

Corporate Customers (continued)

Business division deep dive — Profit engine.

WHAT WOULD VALIDATE OR BREAK THE CASE

Validation requires recurring service revenue growth, EBITDA margin of at least 33%, and evidence that lower consultancy use does not impair delivery or retention. Higher cloud, security or IoT revenue with stable headcount would support higher revenue per employee, although division-specific headcount is unavailable. Major public-sector or enterprise contracts with multi-year recurring economics would also improve visibility. A return to revenue growth led by services rather than devices would be more valuable than a hardware-led rebound.

The case breaks if revenue remains negative and EBITDA margin falls below 30%, indicating that Q2 expansion was temporary. It also breaks if low-margin IT services absorb savings from connectivity, or if customers unbundle connectivity from cloud and security procurement. Leverage also matters: acquisition-led ICT growth funded with debt would not warrant the same multiple as organic recurring growth. Corporate remains Elisa's second-largest business division, but its premium depends on showing that digital-service growth improves the economics of the connectivity base.

CORPORATE CUSTOMERS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 750m

FY2025A COMPARABLE EBIT
EUR 164m

FY2025 COMPARABLE EBIT MARGIN
21.9% = EUR 164m / EUR 749.6m

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-0.7% year on year

FINLAND CORPORATE MOBILE SHARE
Approximately 40% of revenue in 2024

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Nearly 50% of revenue in 2024

DOMESTIC IT BENCHMARK
EUR 140m revenue, about 5% EBITDA in 2022

IOT AND SECURITY BENCHMARK
EUR 70m revenue, 20–40% EBITDA in 2022

VALUATION INPUT
EUR 250m 2027E EBITDA at 7.5x

CORPORATE COMPETITIVE POSITION AND MIX INDICATORS

OPERATOR / PROVIDER	CORPORATE POSITION	LATEST PROFITABILITY SIGNAL	KEY LIMITATION
Elisa	40% mobile; ~50% fixed (2024)	35% EBITDA margin Q2 2026	Revenue -0.7%
Telia Finland	Major national challenger	Group service rev. +0.1%	No B2B-only share
DNA/Telenor	National mobile/fixed challenger	Mobile ARPU EUR 19.6	No B2B-only share
Finnish IT integrators	Compete in USD 32bn ICT pool	Project economics vary	No common margin metric

08.3

International Industrial Software

Business division deep dive — Emerging profit engine.

THE PRIZE IS THE MANUFACTURING INEFFICIENCY POOL

Industrial Software competes for spending that reduces downtime, scrap, rework, excess inventory and manual planning, rather than only for the labelled MES market. Siemens estimated that Fortune Global 500 manufacturers lose USD 1.4tn annually to unplanned downtime, equal to 11% of revenue. Broader manufacturing waste has been estimated at USD 8tn. The software categories are smaller: 2025 MES estimates range from USD 16.57bn to USD 25.16bn, and 2026 industrial-software estimates range from USD 29.25bn to USD 33.0bn. The report values actual portfolio revenue, not the trillion-dollar inefficiency headline, because only a small share of avoided loss can become software spending.

Elisa's portfolio covers production management, scheduling, quality, supply chain and related workflows through camLine, sedApta, CalcuQuote, TenForce and other Industriq products. The proposition is strongest where downtime costs millions per hour or quality failures consume double-digit percentages of revenue. Advanced Planning and Scheduling alone was estimated at USD 4.8bn in 2025. North America and Europe together represented USD 7.2bn of QMS software spending in 2024. These categories overlap, so adding them would overstate the opportunity. The division requires only modest market-share capture, but customers demand deep vertical functionality and reliable implementation.

PORTFOLIO SCALE MUST TURN INTO ORGANIC RECURRING GROWTH

Elisa Industriq reported more than 2,000 customers across manufacturing, telecom and energy in 2026. Recurring revenue represented approximately 50% of combined International Software Services revenue at the start of the year. The customer count includes Polystar and cannot be assigned entirely to Industrial Software. AVEVA's approximately 85% recurring-revenue mix in 2025 provides a mature benchmark. It indicates that Elisa's portfolio still has substantial licence, implementation or project exposure. Raising recurring mix toward 60–70% would reduce quarterly volatility and support a higher multiple.

Growth quality is the main weakness. International Software Services revenue grew 11.3% in Q4 2025, but management said the increase was mainly inorganic and organic growth was flat because large projects moved into 2026. Q1 2025 growth of 56.7% was also driven by the sedApta acquisition. Q2 2026 organic growth was only 0.6%, and full-year guidance was cut to 5–10%. The issue is not whether acquisitions can add revenue. It is whether the combined portfolio can cross-sell and retain customers without repeated acquisition spending.

INTERNATIONAL INDUSTRIAL SOFTWARE FACT SHEET

EMERGING PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 95m

MODEL ESTIMATE COMPARABLE EBIT
EUR -6m

FY2025 MODELLED REVENUE
EUR 95.4m within EUR 155.4m reported ISS

FY2025 MODELLED COMPARABLE EBIT
EUR -6m within EUR -10m reported ISS

COMBINED INDUSTRIQ CUSTOMERS
More than 2,000 worldwide in 2026

COMBINED RECURRING REVENUE
Approximately 50% at start-2026

SEDAPTA PRE-DEAL REVENUE
EUR 49m in FY2023

INDUSTRIAL SOFTWARE MARKET RANGE
USD 29.25–33.0bn in 2026

VALUATION INPUT
EUR 18m 2027E EBITDA at 10.0x

08.3

International Industrial Software (continued)

Business division deep dive — Emerging profit engine.

MODELLED SPLIT AND REQUIRED MARGIN

The company does not disclose a precise Telecom-versus-Industrial split. The report assigns EUR 95.4m of FY2025 revenue and EUR -6m of comparable EBIT to Industrial Software, leaving EUR 60m and EUR -4m for Telecom Software. The estimates reconcile to reported International Software Services totals. The industrial allocation is partly anchored by sedApta's EUR 49m FY2023 revenue before consolidation and the presence of camLine, CalcuQuote and TenForce. It is not a reported figure and could reasonably be EUR 85–105m. Moving EUR 10m between the two software divisions would not materially affect group value unless their selected multiples diverged.

The base case assigns EUR 18m of 2027 EBITDA to Industrial Software. On illustrative revenue of EUR 105–115m, this implies a 16–17% margin. That is below mature software peers but above the combined segment's early-stage profitability. Positive FY2025 EBITDA shows that the threshold has been crossed. However, EUR -10m combined comparable EBIT shows that amortisation and integration remain economically relevant. PPA is non-cash, but acquisition consideration and future replacement acquisitions are not. Valuation should therefore not simply ignore the EBIT deficit.

COMPETITIVE REFERENCES ARGUE FOR A DISCOUNT

SAP held an estimated 10.2% of global manufacturing software in 2024, Salesforce 9.3%, Microsoft 7.8% and Dassault Systèmes 6.1%. Siemens was ranked a leader in worldwide MES and reported EUR 1.6bn of Digital Industries software revenue in fiscal Q2 2026, up 14%. Elisa's modelled EUR 95.4m industrial revenue is small by comparison and spread across several vertical products. Its advantage is specialist workflow depth and potential cross-selling. Its disadvantages are fragmented branding, implementation capacity and limited global distribution.

The report applies 10.0x to EUR 18m EBITDA, producing EUR 180m EV. This exceeds Enghouse's 4.6x 2027 multiple because industrial end markets can support higher growth, but remains far below mature high-margin software economics. The selected value is also about 1.6x illustrative 2027 revenue if revenue reaches EUR 110m. This is restrained given the 50% recurring mix and weak Q2 organic growth. A move to 20% EBITDA margin and organic growth above 10% could support 12–14x. Continued single-digit growth with negative EBIT would justify 5–7x or less.

INTERNATIONAL INDUSTRIAL SOFTWARE FACT SHEET

EMERGING PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 95m

MODEL ESTIMATE COMPARABLE EBIT
EUR -6m

FY2025 MODELLED REVENUE
EUR 95.4m within EUR 155.4m reported ISS

FY2025 MODELLED COMPARABLE EBIT
EUR -6m within EUR -10m reported ISS

COMBINED INDUSTRIQ CUSTOMERS
More than 2,000 worldwide in 2026

COMBINED RECURRING REVENUE
Approximately 50% at start-2026

SEDAPTA PRE-DEAL REVENUE
EUR 49m in FY2023

INDUSTRIAL SOFTWARE MARKET RANGE
USD 29.25–33.0bn in 2026

VALUATION INPUT
EUR 18m 2027E EBITDA at 10.0x

08.3

International Industrial Software (continued)

Business division deep dive — Emerging profit engine.

WHAT WOULD PROVE OR BREAK THE PORTFOLIO

Validation requires organic growth above 10%, a rising recurring-revenue share, positive comparable EBIT and cash conversion after capitalised development and integration costs. Cross-selling among more than 2,000 combined customers would be particularly valuable because enterprise software customer-acquisition costs can exceed USD 15,000 before implementation costs. The March 2026 appointment of Mikko Soirola as Industriq CEO creates clear accountability, but leadership change alone is not an earnings catalyst. Investors need disclosed ARR, renewal rates, backlog and organic growth by product family.

The case breaks if acquisition-led growth masks customer attrition, if implementations require persistent central support, or if PPA is followed by new deals before the portfolio earns its cost of capital. The EU AI Act's transparency requirements became enforceable on 2 August 2026 and apply to AI-enabled industrial products. This adds compliance work but does not create a demand barrier comparable to product failure. The largest risk is execution, not market size: a large inefficiency pool does not ensure that a fragmented mid-tier portfolio can generate profitable recurring revenue.

INTERNATIONAL INDUSTRIAL SOFTWARE FACT SHEET

EMERGING PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 95m

MODEL ESTIMATE COMPARABLE EBIT
EUR -6m

FY2025 MODELLED REVENUE
EUR 95.4m within EUR 155.4m reported ISS

FY2025 MODELLED COMPARABLE EBIT
EUR -6m within EUR -10m reported ISS

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More than 2,000 worldwide in 2026

COMBINED RECURRING REVENUE
Approximately 50% at start-2026

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EUR 49m in FY2023

INDUSTRIAL SOFTWARE MARKET RANGE
USD 29.25–33.0bn in 2026

VALUATION INPUT
EUR 18m 2027E EBITDA at 10.0x

INDUSTRIAL - SOFTWARE SCALE, RECURRENCE AND PROFITABILITY BENCHMARKS

VENDOR	SCALE / SHARE	RECURRING OR GROWTH SIGNAL	PROFITABILITY REFERENCE
Elisa Industriq	EUR 95.4m modelled FY2025	~50% combined recurring	EUR 18m 2027E EBITDA
Siemens	EUR 1.6bn software Q2 FY26	Revenue +14%	MES leader
SAP	10.2% share est. (2024)	Cloud-integrated portfolio	Not comparable directly
Dassault Systèmes	6.1% share est. (2024)	Mission-critical portfolio	32.4% EBIT 2026E
AVEVA	Large industrial portfolio	~85% recurring (2025)	Not established

08.4

International Telecom Software

Business division deep dive — Emerging profit engine.

THE PRIZE IS THE NETWORK - OPERATIONS COST POOL

Polystar competes for telecom operators' spending on labour, monitoring, fault management and assurance that can be automated, not only for narrow software licences. Grand View Research estimated telecom operations management spending at USD 107.51bn in 2026, and MTN Consulting estimated a USD 260.4bn global telecom labour-cost pool in 2025. The narrower service-assurance market is estimated at USD 13.47–14.15bn in 2026, while network-automation estimates range from USD 22.41bn to USD 36.86bn. The report values Polystar using its own revenue and EBITDA rather than these conflicting market definitions. However, the displaced-spend evidence shows that customer ROI can be material.

Operators report potential network-operations savings of 15–30%, while more mature autonomous networks may reduce operations and maintenance costs by as much as 55%. Polystar therefore needs to capture only a small part of customer savings to support recurring subscription value. Its solutions cover more than 100m mobile subscribers across more than 100 operators. On a simple average, this implies more than one million covered subscribers per operator. Exact pricing per subscriber and monitored network element is not disclosed. The base case requires the installed footprint to generate renewals, true-ups and additional analytics modules, rather than a large increase in customer count.

MARKET POSITION IS CREDIBLE BUT SMALL

Gartner named Polystar a Representative Vendor in the 2026 Market Guide for CSP Service and Network Assurance Solutions, alongside specialists including Mycom OSI, Inspur and Infovista. This confirms product relevance but not leadership. Amdocs held an estimated 14% position in adjacent telecom software categories and reported a USD 4.26bn twelve-month backlog in August 2026, illustrating the scale gap. The top five core-network vendors controlled 86.1% of core revenue in 2025. This gives large equipment vendors substantial cross-selling power even where Polystar's specialist product is differentiated.

Polystar's June 2026 MasOrange selection for Kalix Analytics and Osix Monitoring is a positive commercial signal because it covers a unified integrated network. Four new AI-driven assurance capabilities were launched at Mobile World Congress in February 2026, including agentic AI and automated anomaly detection. These developments support the likelihood of revenue conversion, but no contract value or annual recurring revenue was disclosed. Procurement benchmarks indicate three-to-five-year subscriptions with annual true-ups. These can provide visibility once deployed but can also extend sales cycles and increase quarterly timing volatility.

INTERNATIONAL TELECOM SOFTWARE FACT SHEET

EMERGING PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 60m

MODEL ESTIMATE COMPARABLE EBIT
EUR -4m

FY2025 MODELLED REVENUE
EUR 60m within EUR 155.4m reported ISS

FY2025 MODELLED COMPARABLE EBIT
EUR -4m within EUR -10m reported ISS

INSTALLED COVERAGE
100m+ subscribers across 100+ operators

2026 GARTNER STATUS
Representative Vendor in CSP assurance

CONTRACT STRUCTURE BENCHMARK
3–5-year subscriptions with true-ups

ADDRESSABLE ASSURANCE MARKET
USD 13.47–14.15bn in 2026 estimates

VALUATION INPUT
EUR 8m 2027E EBITDA at 10.0x

08.4

International Telecom Software (continued)

Business division deep dive — Emerging profit engine.

MODELLED ECONOMICS AND VALUATION

Elisa reports Telecom and Industrial Software together as International Software Services. The report models FY2025 Telecom Software revenue at EUR 60m and comparable EBIT at EUR -4m, with Industrial Software at EUR 95.4m and EUR -6m. Together, these figures reconcile exactly to reported EUR 155.4m revenue and EUR -10m comparable EBIT. The revenue split is an analytical estimate based on sedApta's pre-acquisition EUR 49m revenue and the broader industrial portfolio, not company disclosure. The combined segment was EBITDA-positive in 2025, so negative comparable EBIT reflects acquisition amortisation and integration costs as well as underlying economics.

The valuation assigns EUR 8m of 2027 EBITDA at 10.0x, giving EUR 80m of EV. The multiple is below mature high-margin software ambitions but above Enghouse's 4.6x 2027 EV/EBITDA because Polystar has a recognised assurance position and potentially faster automation demand. It requires approximately a low-double-digit EBITDA margin on revenue in the EUR 65–75m range. Failure to convert postponed projects, continued reliance on bespoke deployment work or loss of tier-one customers would remove the margin case.

WHAT BREAKS THE CASE

The 2026 organic growth guide for combined International Software Services was cut from above 10% to 5–10% after Q2 organic growth of only 0.6%. Telecom projects contribute to this volatility, but Elisa did not disclose the product-family contribution. The case requires second-half order conversion, recurring-revenue growth and positive EBITDA through a normal annual cycle. The EU AI Act's transparency requirements became enforceable on 2 August 2026. Compliance is manageable but adds documentation and governance requirements for AI-enabled assurance.

INTERNATIONAL TELECOM SOFTWARE FACT SHEET

EMERGING PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 60m

MODEL ESTIMATE COMPARABLE EBIT
EUR -4m

FY2025 MODELLED REVENUE
EUR 60m within EUR 155.4m reported ISS

FY2025 MODELLED COMPARABLE EBIT
EUR -4m within EUR -10m reported ISS

INSTALLED COVERAGE
100m+ subscribers across 100+ operators

2026 GARTNER STATUS
Representative Vendor in CSP assurance

CONTRACT STRUCTURE BENCHMARK
3–5-year subscriptions with true-ups

ADDRESSABLE ASSURANCE MARKET
USD 13.47–14.15bn in 2026 estimates

VALUATION INPUT
EUR 8m 2027E EBITDA at 10.0x

08.4

International Telecom Software (continued)

Business division deep dive — Emerging profit engine.

Upside requires Polystar to convert its 100-plus-operator footprint into expansion revenue while maintaining reusable product economics. The downside is weak conversion, not lack of demand. Long procurement cycles, customer concentration, integration work and competition from bundled vendor stacks can prevent a large addressable cost pool from becoming profitable revenue. Until standalone ARR, backlog and margin are disclosed, EUR 80m appropriately values Polystar as an emerging profit engine rather than a premium software asset.

INTERNATIONAL TELECOM SOFTWARE FACT SHEET

EMERGING PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 60m

MODEL ESTIMATE COMPARABLE EBIT
EUR -4m

FY2025 MODELLED REVENUE
EUR 60m within EUR 155.4m reported ISS

FY2025 MODELLED COMPARABLE EBIT
EUR -4m within EUR -10m reported ISS

INSTALLED COVERAGE
100m+ subscribers across 100+ operators

2026 GARTNER STATUS
Representative Vendor in CSP assurance

CONTRACT STRUCTURE BENCHMARK
3-5-year subscriptions with true-ups

ADDRESSABLE ASSURANCE MARKET
USD 13.47-14.15bn in 2026 estimates

VALUATION INPUT
EUR 8m 2027E EBITDA at 10.0x

TELECOM - SOFTWARE COMPETITIVE SCALE AND COMMERCIAL EVIDENCE

VENDOR	SCALE / MARKET EVIDENCE	COMMERCIAL INDICATOR	PROFITABILITY REFERENCE
Elisa Polystar	100m+ users; 100+ operators	MasOrange win Jun-2026	Modelled EUR 8m EBITDA
Amdocs	14% adjacent category est.	USD 4.26bn backlog	Large-scale incumbent
Mycom OSI	Gartner specialist vendor	Network assurance	Not established
Infovista	Gartner specialist vendor	Network assurance	Not established
Inspur	Gartner specialist vendor	Network assurance	Not established

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Consumer cash generation funds the network, dividend and software build-out. Its shared network also supports Corporate connectivity, creating scale economies that cannot be separated cleanly in reported segment accounts.

Corporate monetises the same infrastructure through higher-value security, cloud and managed services. However, project-heavy ICT can absorb labour savings generated elsewhere. Equipment weakness can reduce revenue without an equivalent EBITDA impact.

Software can draw on Elisa's operator and operational expertise, but acquisitions add PPA, integration costs and debt. Direct cannibalisation is limited. The main interaction is through capital allocation and management attention.

BRIDGE MECHANICS

Each division is valued using modelled 2027 EBITDA and an explicit multiple bracketed by peers and history. The four EV contributions total EUR 7.6 billion before the locked EUR 1.6 billion EV-to-equity deduction.

At EUR 39.38, Elisa's market EV is EUR 8 billion, EUR 311m above the SOTP. The gap equals roughly EUR 32m of EBITDA at the Consumer multiple, or EUR 1.94 per share.

The reverse DCF is more demanding. It requires EUR 630m EBIT and a 27.0% margin in 2027, versus EUR 555m and 23.8% in the authoritative model. It also assumes 3.0% terminal growth.

Elisa trades at 16.14x 2026 earnings, close to the 15.8x peer median but below its 20.49x normalised history. Its 8.10x EV/EBITDA is above the 6.5x peer median and below the 11.94x historical average.

The market is not pricing distress. It reflects franchise quality and a meaningful benefit from savings or software. The report accepts the quality premium but does not capitalise the unsupported 2026 EBITDA spike.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear: revenue falls to EUR 2.2 billion and EBITDA to EUR 790m as churn returns above 20%, Corporate margins normalise below 30% and software remains around break-even. Higher refinancing costs and weak cash conversion leave net debt around EUR 1.8 billion.

Base: revenue reaches EUR 2.3 billion and EBITDA reaches EUR 856m in 2027. Churn stays around 16–18%, the transformation programme offsets cost inflation, Corporate sustains low-30s EBITDA margins, and software contributes EUR 26m EBITDA. Net debt is EUR 1.5 billion in the model.

Bull: revenue reaches EUR 2.5 billion and EBITDA reaches EUR 930m as consumer service growth improves, Corporate mix shifts toward cyber and IoT, and software grows organically above 10% with positive comparable EBIT. Stronger cash generation reduces net debt toward EUR 1.4 billion rather than leaving base leverage unchanged.

BOTTOM LINE

Elisa is a high-quality but mature connectivity franchise. Its current price already reflects much of the expected cost and margin recovery. The evidence supports stable domestic economics and limited software upside, but not the reverse valuation's 27% 2027 EBIT margin. Income support and identifiable catalysts support HOLD rather than SELL.

FINANCIAL BRIDGE · PART 1

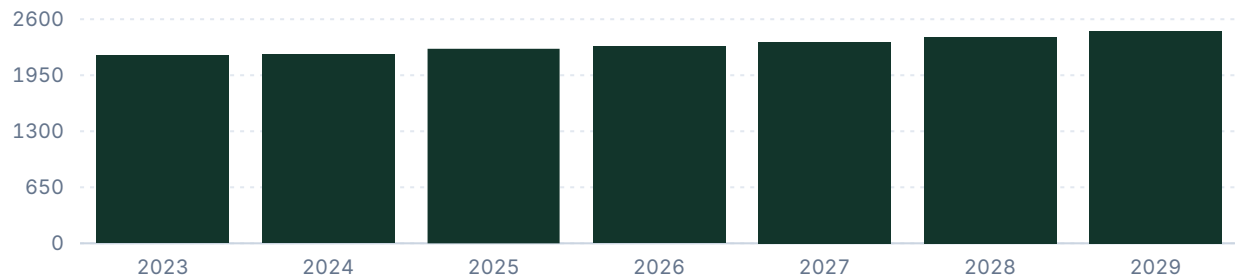
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

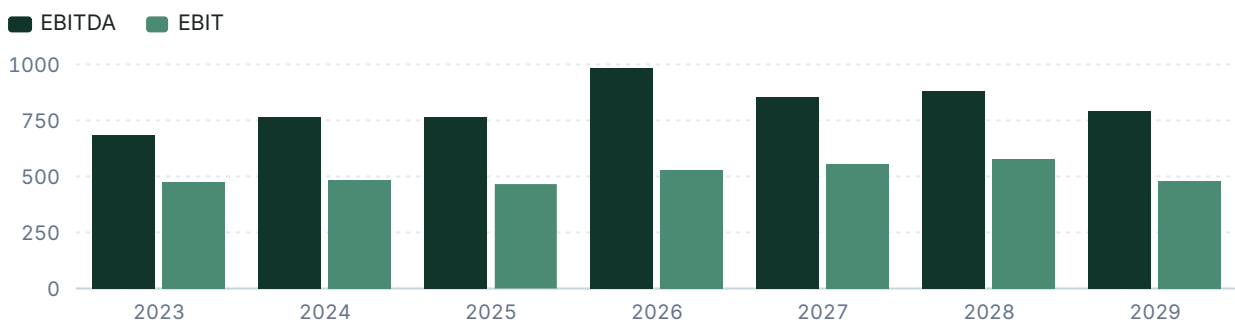
Net sales

EUR millions



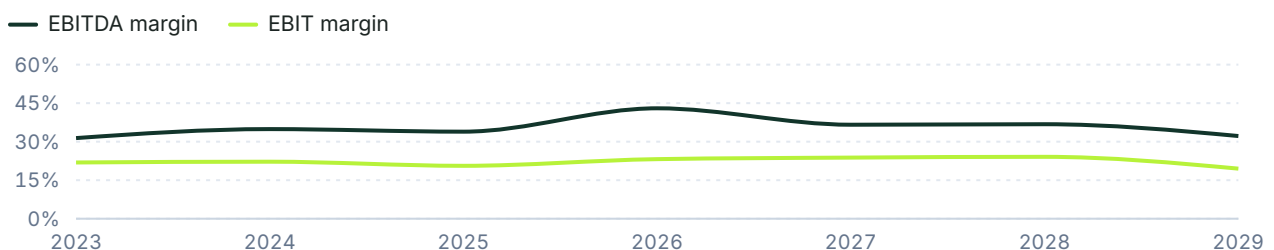
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

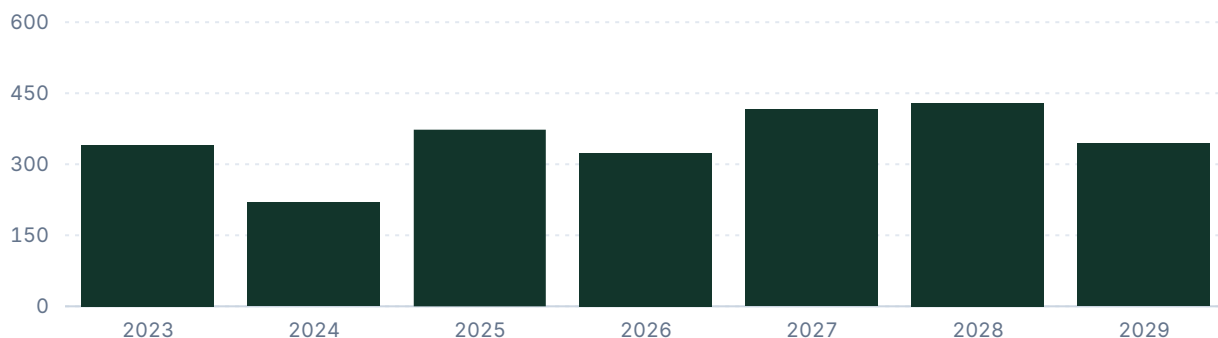
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

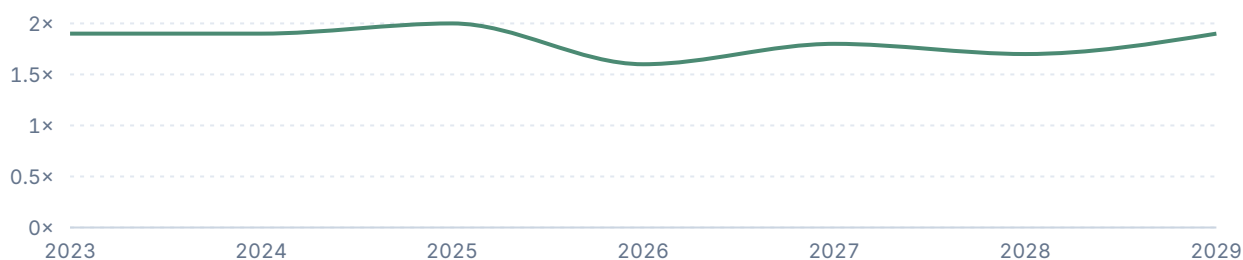
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	2,257	2,282	2,335	2,394	2,464
EBITDA	765	982	856	881	794
Comparable EBIT	466	529	555	576	481
Net Earnings	342	392	412	427	361
EPS (EUR)	2.1	2.4	2.6	2.7	2.3
DPS (EUR)	2.4	2	2.1	2.1	1.8

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is appropriate because mature domestic telecom and early-stage international software have different growth, margin and risk profiles. Consumer receives 9.5x 2027 EBITDA, near Tele2 but below Elisa's 11.94x normalised history; Corporate receives 7.5x for ICT mix risk; both software pools receive 10.0x on still-small positive EBITDA. The SOTP carries 100% weight because group P/E and 2026 EV/EBITDA are distorted by the unsupported EUR 982m EBITDA forecast. Sensitivity tests EUR 856m of 2027 EBITDA across 7.5–10.5x.

What the market is pricing.

The current EUR 8 billion EV exceeds the SOTP by EUR 311m. Holding Corporate and software values constant, the market assigns Consumer EUR 5.8 billion, equal to 10.04x the report's EUR 580m EBITDA rather than 9.5x. Alternatively, at the report's multiples, the price requires about EUR 35m more 2027 EBITDA, concentrated in domestic savings and pricing.

The market assumes The 2026 model EBITDA of EUR 982m is a sustainable earnings base. We assign a different reading: The valuation uses EUR 856m in 2027; official 2026 guidance is EUR 815–845m and the unsupported model spike would overstate normalised earnings. (Elisa Half-Year Financial Report, 15 July 2026)

The market assumes Domestic margins can reach the reverse valuation's 27.0% 2027 EBIT margin. We assign a different reading: The authoritative forecast is 23.8%; pricing and EUR 40m savings support improvement but not the full 320bp gap without stronger revenue. (Elisa transformation programme; Inderes, 22 October 2025)

The market assumes International software already deserves a mature recurring-software premium. We assign a different reading: Only EUR 260m of EV is assigned until organic growth exceeds 10% and comparable EBIT turns positive. (Elisa Half-Year Financial Report, 15 July 2026)

HISTORICAL AND FORECAST MULTIPLES								
METRIC	2020A	2021A	2022A	2023A	2024A	2025A	2026E	NORM. AVG. 2020 - 2025 (OUTLIERS DROPPED)
P/E	21.90x	25.24x	21.30x	17.97x	18.83x	17.72x	16.14x	20.49x
P/E adj.	22x	25x	21x	18x	19x	18x	16x	20x
EV/EBITDA	12.36x	14.26x	12.60x	11.74x	10.75x	9.94x	8.10x	11.94x
EV/EBIT	20.51x	23.10x	19.66x	16.84x	16.93x	16.30x	15.05x	18.89x
EV/Sales	4.43x	4.97x	4.34x	3.69x	3.75x	3.37x	3.49x	4.09x
P/FCF	25.60x	27.00x	28.44x	19.70x	30.68x	16.24x	19.49x	24.61x
P/BV	6.07x	7.24x	6.36x	5.20x	5.22x	4.84x	4.99x	5.82x
P/S	3.79x	4.34x	3.72x	3.08x	3.06x	2.68x	2.77x	3.45x
Dividend yield	4.1%	3.6%	4.1%	5.1%	5.4%	6.2%	5.0%	4.8%

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2026E P/E	2026E EBIT MARGIN
Elisa	8.10x	16.14x	23.2%
Tele2	9.7x	20.6x	24.5%
Swisscom	8.2x	19.3x	14.2%
Proximus	3.1x	5.6x	10.2%
Enghouse	4.8x	12.7x	22.8%
Dassault Systèmes	9.8x	18.9x	32.4%
Peer median	6.5x	15.8x	22.8%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Consumer Customers	2027E Modelled division ...	580	9.5x	34.3 EUR	
· Corporate Customers	2027E Modelled division ...	250	7.5x	11.7 EUR	
· International Telecom Software	2027E Modelled division ...	8	10.0x	0.5 EUR	
· International Industrial Software	2027E Modelled division ...	18	10.0x	1.1 EUR	
Sum of the parts	2027E Sum of division en...	n/a	n/a	37.4 EUR	100%
Weighted target price				37.4 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

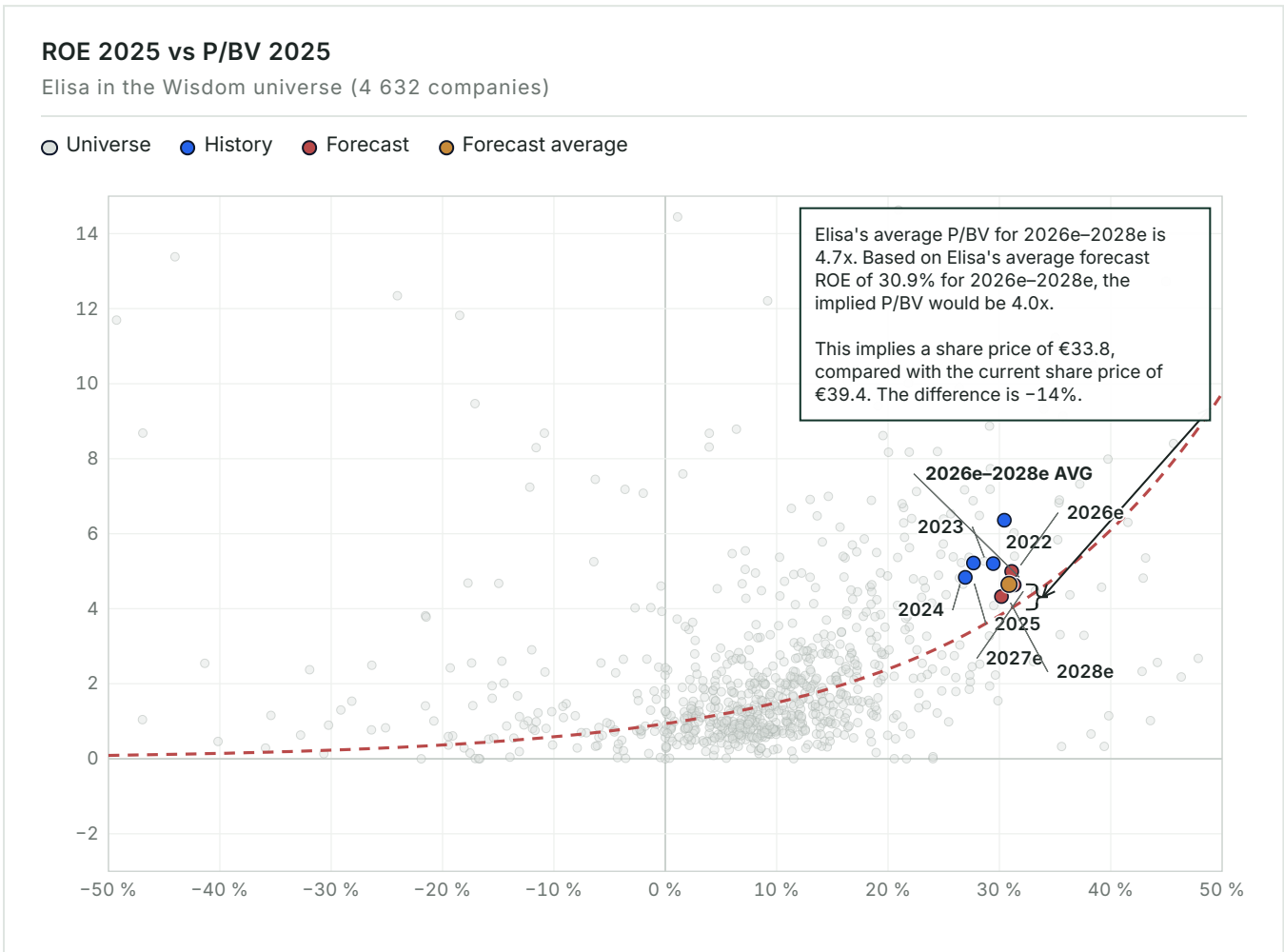
2027E EBITDA	7.5X	8.25X	9.0X	9.75X	10.5X
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VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Elisa's 2026–28 average forecast ROE of 30.9% supports a premium book multiple. However, the global curve implies 4.0x P/BV, versus Elisa's 4.7x forecast average. Applying 4.0x to EUR 8.5 of average forecast book value gives EUR 33.8 per share, 14% below the current EUR 39.4. The scatter supports franchise quality but indicates that the market already pays more than the cross-sectional ROE relationship implies.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	16.1×
EV/EBITDA	8.1×
EV/EBIT	15.1×
P / Valuatum FOCF	19.5×
P/BV	5.0×
Dividend Yield	5.0%
Net Debt / EBITDA	1.6×

EBITDA × EV/EBITDA sensitivity					
2027E EBITDA (EURM) Implied group EV/EBITDA →	7.5×	8.3×	9.0×	9.8×	10.5×
-20% EUR 785m	EUR 5,888m EUR 26.50 / sh	EUR 6,476m EUR 30.20 / sh	EUR 7,065m EUR 33.80 / sh	EUR 7,654m EUR 37.50 / sh	EUR 8,243m EUR 41.20 / sh
-10% EUR 883m	EUR 6,623m EUR 31.10 / sh	EUR 7,285m EUR 35.20 / sh	EUR 7,947m EUR 39.30 / sh	EUR 8,609m EUR 43.50 / sh	EUR 9,272m EUR 47.60 / sh
Base EUR 982m	EUR 7,365m EUR 35.70 / sh	EUR 8,102m EUR 40.30 / sh	EUR 8,838m EUR 44.90 / sh	EUR 9,575m EUR 49.50 / sh	EUR 10,311m EUR 54.00 / sh
+10% EUR 1,080m	EUR 8,100m EUR 40.30 / sh	EUR 8,910m EUR 45.30 / sh	EUR 9,720m EUR 50.40 / sh	EUR 10,530m EUR 55.40 / sh	EUR 11,340m EUR 60.50 / sh
+20% EUR 1,178m	EUR 8,835m EUR 44.90 / sh	EUR 9,719m EUR 50.40 / sh	EUR 10,602m EUR 55.90 / sh	EUR 11,486m EUR 61.40 / sh	EUR 12,369m EUR 66.90 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	2,220	790	35.6%	7.5×	5,925	4,293	EUR 26.73	-32.1%
Base	2,335	856	36.7%	8.9×	7,644	6,012	EUR 37.44	-4.9%
Bull	2,450	930	38.0%	10.0×	9,300	7,668	EUR 47.75	+21.3%

KEY CONDITIONS

The bear case combines renewed consumer discounting, Corporate mix dilution and no software operating leverage. The base case requires EUR 856m of 2027 EBITDA, stable churn and partial delivery of the EUR 40m savings programme. The bull case requires service-revenue acceleration, software organic growth above 10% and enough cash generation to reduce net debt toward EUR 1.4 billion. These are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of EUR 37.4 sits between Bear and Base (Bear EUR 26.7, Base EUR 37.4, Bull EUR 47.8); its method weights are shown in the Target Price Bridge.

THESIS BREAKER

The base case fails if churn exceeds 20%, software remains below 5% organic growth and group EBITDA falls below EUR 800m.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Q3 2026 interim report and guidance progress	NEAR-TERM	Consumer Customers	Churn, ARPU and EBITDA versus EUR 815–845m guide	Confirms or cuts domestic earnings base
Delayed mobile price adjustments reach revenue	NEAR-TERM	Consumer Customers	Service revenue growth with churn below 17%	Supports 9.5x Consumer multiple
Transformation savings become recurring	MEDIUM-TERM	Corporate Customers	Margin at or above 33% after restructuring costs	Raises sustainable EBITDA
Corporate revenue re-returns to service-led growth	MEDIUM-TERM	Corporate Customers	Cloud, security and IoT outgrow equipment	Reduces mix discount
Postponed Polystar projects convert	MEDIUM-TERM	International Telecom Software	Organic growth above 10% and positive EBITDA	Supports software multiple
IndustriQ reaches positive comparable EBIT	MEDIUM-TERM	International Industrial Software	ARR growth and positive EBIT after PPA	Validates acquisition strategy
Recurring software mix rises above 60%	LONG-TERM	International Industrial Software	Renewals and SaaS exceed project revenue growth	Could justify 12x EBITDA
READ - THROUGH Medium-term upside requires the EUR 40m transformation target to appear in recurring margins, rather than only in adjusted measures. Software matters less to near-term group earnings. However, it could improve the quality and multiple of the small international business divisions if organic growth and comparable EBIT improve together.				

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Renewed Finnish mobile price war	Corporate Customers	Higher churn drives discounts and acquisition costs	Post-paid churn above 20% or declining ARPU	HIGH	THESIS BREAKER
ICT growth dilutes Corporate margins	Corporate Customers	Labour-heavy projects grow faster than recurring services	Revenue growth with EBITDA margin below 30%	HIGH	MANAGEABLE
Transformation savings fail to persist	Corporate Customers	Consultancy, wage and retention costs offset savings	Costs rebound after restructuring period	HIGH	THESIS BREAKER
Software projects remain delayed	International Industrial Software	Long sales cycles prevent operating leverage	Organic growth below 5% for two quarters	MEDIUM	MANAGEABLE
Acquisition-dependent software growth	International Industrial Software	PPA, integration and debt exceed recurring growth value	New deals before positive comparable EBIT	MEDIUM	STRUCTURAL
Capital intensity rises	Corporate Customers	Fibre, spectrum and network capex reduce free cash flow	Capex remains above EUR 400m after 2026	MEDIUM	STRUCTURAL
Dividend exceeds cash earning power	Corporate Customers	High payout limits deleveraging and reinvestment	Dividend exceeds free cash flow amid 2.0x leverage	MEDIUM	MANAGEABLE
READ-THROUGH Software risks are smaller in current EV but remain strategically important. Repeated acquisitions before organic growth and positive comparable EBIT would suggest that the portfolio cannot self-fund. Higher capital expenditure or dividends beyond free cash flow would further reduce balance-sheet flexibility.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
Net Sales	2,181	2,192	2,257	2,282	2,335	2,394
EBITDA	685	765	765	982	856	881
EBITDA margin	31.4%	34.9%	33.9%	43.0%	36.6%	36.8%
Depreciation	-207	-279	-298	-453	-301	-305
Operating Profit (EBIT)	477	486	466	529	555	576
EBIT margin	21.9%	22.2%	20.6%	23.2%	23.8%	24.1%
Net financial items	-19	-38	-41	-46	-49	-52
Pre-tax Profit	458	448	425	482	506	524
Net Earnings	374	356	342	392	412	427
PER SHARE						
EPS	2.3	2.2	2.1	2.4	2.6	2.7
DPS	2.2	2.3	2.4	2	2.1	2.1
Payout ratio	92.3%	101.3%	110.4%	80.0%	80.0%	80.0%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	903	968	1,016	1,020	1,044	1,070
Intangibles	210	235	245	248	253	260
Goodwill	1,157	1,263	1,262	1,262	1,262	1,262
Non-current assets	2,415	2,599	2,675	2,682	2,712	2,744
Inventories	77	76	48	59	60	62
Receivables	558	581	590	590	604	619
Cash & equivalents	63	90	190	157	161	165
Current assets	698	747	827	806	825	846
Total Assets	3,125	3,356	3,516	3,502	3,551	3,604
EQUITY & LIABILITIES						
Equity	1,294	1,293	1,259	1,273	1,371	1,468
Long-term debt	997	1,008	1,302	879	849	823
Short-term debt	282	459	275	879	849	823
Long-term liabilities	1,008	1,015	1,320	897	868	841
Current liabilities	710	914	767	1,284	1,263	1,246
Total liabilities & equity	3,125	3,356	3,516	3,502	3,551	3,604
CAPITAL STRUCTURE & RATIOS						
Net debt	1,304	1,473	1,509	1,600	1,537	1,481
Capital invested	2,509	2,669	2,647	2,873	2,909	2,949
Equity ratio	41.4%	38.5%	35.8%	36.3%	38.6%	40.7%
Gearing	100.8%	113.9%	119.8%	125.7%	112.1%	100.9%
Net debt / EBITDA	1.9×	1.9×	2.0×	1.6×	1.8×	1.7×
Current ratio	1	0.8	1.1	0.6	0.7	0.7

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	593	641	696	747	706	724
Operating cash flow (Valuatum calculation)	611	685	737	785	746	766
Change in working capital	9	-5	-56	98	7	8
INVESTING & FREE CASH						
Gross capex	255	463	375	460	330	337
Capex (ex. M&A)	-255	-463	-375	-460	-330	-337
Cash after capex (CFO - gross capex)	338	178	322	287	376	386
Free operating cash flow (Valuatum def.)	341	219	373	324	416	429
Free cash flow to firm	341	219	373	324	416	429
FINANCING						
CF from financing	-340	-166	-230	-319	-372	-382
Dividends paid	-329	-345	-361	-377	-313	-330
Net change in cash	-2	13	92	-32	4	4

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	535	541	536	580	556	552	561	588
EBITDA	181	190	206	191	195	196	214	160
EBITDA margin	33.8%	35.1%	38.4%	33.0%	35.0%	35.4%	38.1%	27.2%
Comparable EBIT	113	121	136	119	122	122	139	84
EBIT margin	21.1%	22.4%	25.4%	20.5%	21.9%	22.1%	24.7%	14.2%
Net Earnings	83	90	100	82	90	90	103	59
EPS	0.5	0.6	0.6	0.5	0.6	0.6	0.6	0.4

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26 E	Q3/26 E	Q4/26 E
Net Sales	548	560	568	606
EBITDA	199	269	295	219
EBITDA margin	36.3%	48.1%	51.9%	36.1%
Comparable EBIT	124	143	162	99
EBIT margin	22.6%	25.5%	28.6%	16.4%
Net Earnings	91	106	122	72
EPS	0.6	0.7	0.8	0.5

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 7684, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, ELISA.HE financialmodelingprep.com	MARKET DATA	Price chart & market facts
Elisa Annual Report 2025	static.elisa.com/.../Elisa_AnnualReport_2025.pdf	OFFICIAL SOURCE	Reported segment table
Elisa reiterated its full-year 2026 guidance, estimating re...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Elisa
Elisa's Annual General Meeting 2026 decided on a dividend f...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Elisa
Elisa published its 2025 financial statements, reporting a...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Elisa
The company reported its Q3 2025 interim results, noting a...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Elisa
Elisa is scheduled to publish its Interim Report for Q3 202...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Cision News
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